Health Insurance and Health Related Tele Sales

Lead Source and Intake Red Flags

🚩 Leads originating from websites that appear affiliated with
Healthcare.gov
State exchanges
Obamacare or ACA branding
Government enrollment centers

🚩 Landing pages that reference
Open enrollment
Silver or Gold plans
ACA compliant language
Low monthly premium claims tied to government programs

🚩 Agents assuming or reinforcing that the consumer came from a government site

🚩 Failure to clearly disclose that the company is a private sales organization at the start of the call

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Opening Call Language Red Flags

🚩 Agent identifies as
An enrollment center
A government affiliated agent
A state exchange representative
An ACA representative

🚩 Agent implies the call is related to
Healthcare.gov
A state marketplace
Government sponsored insurance

🚩 Agent confirms or allows the consumer to believe
This is official insurance

This is government coverage
This is ACA compliant coverage

Product Description Red Flags

Any product described as
Comprehensive health insurance
Major medical insurance
Equivalent to ACA insurance

Any fixed indemnity product described as
Insurance
Health insurance
Full coverage

Use of the term PPO when the product is not a true major medical PPO

Statements implying nationwide coverage without clarifying limits

Claims that the plan
Covers everything
Acts like regular insurance
Works the same as ACA plans

Cost and Benefit Red Flags

Claims of
No deductible
Low deductible without disclosure of benefit caps
Low copays without disclosure of payout limits

Statements that consumer responsibility is limited without explaining
Per day caps
Per incident caps
Annual caps
Lifetime caps

🚩 Failure to disclose that the plan does not have a true out of pocket maximum

🚩 Quoting example copays that do not reflect actual plan payouts

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Provider and Prescription Red Flags

🚩 Agent confirms a specific doctor is covered without verifying actual reimbursement mechanics

🚩 Agent confirms prescriptions are covered without disclosing limitations or exclusions

🚩 Agent claims network access without clarifying
Discount only access
Reimbursement based coverage
Non insurance status

Comparison and Steering Red Flags

🚩 Discouraging ACA or exchange plans by claiming
They are too expensive
Deductibles are too high
Consumer does not qualify without explaining actual eligibility process

🚩 Steering the consumer away from ACA coverage toward commission based products

🚩 Claiming the offered plan is better or cheaper without factual side by side disclosures

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Enrollment Pressure Red Flags

🚩 Urgency statements such as
Price is only good today

You must enroll now
Coverage may not be available later

- Claiming easy cancellation without explaining process and restrictions
- Not providing plan documents prior to payment

Payment and Verification Red Flags

- Collecting payment before full material disclosures
- Verification scripts that
  Instruct consumers not to ask questions
  Require uninterrupted recordings
  Rush the consumer through disclosures
- Electronic signatures pushed without allowing time to read documents
- Verification language that technically disclaims major medical but still implies comprehensive coverage

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Post Sale Red Flags

- Failure to provide immediate access to plan documents
- Difficult or obstructive cancellation process
- Long hold times or refusal to transfer back to sales agent
- Requiring consumers to cancel cards to stop billing

Structural and Management Red Flags

- Shared scripts across multiple entities
- Shared call centers or staff across different companies
- Shared compliance HR payroll or onboarding entities
- Shared bank accounts or commingled funds
- Officers or managers directly involved in
  - Script writing
  - Agent training
  - Lead buying
  - Payment flows
- Lack of clear separation between marketing sales and compliance functions

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Executive Level Reality Check

If any of the above are present, the FTC treats them as evidence of

- Deception
- Material omission
- Common enterprise
- Individual liability

This checklist mirrors the exact theories used by the FTC in the case you provided and represents current enforcement posture, not hypothetical risk